

Security Deposits in Michigan

A security deposit is a sum of money that will be refunded to the tenant at the end of a lease, provided the unit is in good condition according to the criteria set forth in the rental agreement.

Security Deposits under the Landlord-Tenant Act

The Landlord-Tenant Act specifies that security deposits:

- Can't be more than one-and-a-half months' rent
- Can't be required unless the landlord notifies the tenant in writing at least 14 days before the tenant is to take possession of the premises
- Must be deposited in a regulated financial institution, but are considered the property of the tenant until the landlord establishes a right to this money
- May only be used:
 - To reimburse the landlord the cost of actual damages beyond normal wear and tear
 - To repay the landlord for any rent the tenant failed to pay, to offset future rent that won't be paid due to early termination of the lease, or for the tenant's unpaid utility bills

If a landlord requires a security deposit, the landlord must use inventory checklists both at the beginning and termination of occupancy of the dwelling.

At commencement, the landlord gives the tenant two blank copies of the checklist. This checklist will be identical to the one used at termination and includes all items in the unit and owned by the landlord. Some included items are carpeting, window treatments, appliances, furniture, walls, closets, paint, doors, fixtures, etc. Unless a shorter period is agreed to, the tenant must review the checklist, note conditions of the items, and return one copy to the landlord within seven days of taking possession of the premises. The top of the first page of the checklist must contain this notice in 12 point boldface type: "You should complete this checklist, noting the condition of the rental property, and return it to the landlord within 7 days after obtaining possession of the rental unit. You are also entitled to request and receive a copy of the last termination inventory checklist which shows what claims were chargeable to the last prior tenants."

At termination, the landlord provides a completed checklist of any damages claimed to be caused by the tenant. If there are any damages or any other reason (such as unpaid rent) the landlord would keep a portion or all of the tenant's security deposit, an itemized list of damages must be sent to the tenant via mail within 30 days from the end of the tenant's occupancy. This notice includes estimated cost to repair any damages and the amount assessed to the tenant. Basically, how much it will cost to make this repair and how much of the tenant's security deposit will be used to make that repair. The notice of damages must include the following in at least 12 point boldface font and be four points larger than the rest of the text in the notice: "You must respond to this notice by mail within 7 days after receipt of same, otherwise you will forfeit the amount claimed for damages."

If the landlord fails to provide a notice of damages within the time required, the full security deposit must be returned to the tenant as the law deems no damages are due. If a tenant fails to provide a forwarding address to the landlord within four days of lease termination, the landlord isn't subject to the time requirement for providing the notice of damages within 30 days of lease termination. However, that doesn't mean that the landlord can keep the tenant's entire security deposit.

If there's a dispute over the amount of damages claimed by the landlord, the landlord must seek court action within (not after) 45 days of occupancy termination. If the landlord fails to file suit when there is a dispute, he or she may end up owing the tenant double the amount of the security deposit. The landlord doesn't need to seek court action if any of the following are true:

- The tenant failed to provide a forwarding address within four days of occupancy termination.
- The tenant failed to respond to the notice of damages within seven days of receipt.
- The landlord and tenant agreed in writing to the claim of damages.
- The amount is entirely from unpaid rent during the time the tenant had possession of the premises.

If the landlord terminates his or her interest in the property (this may be due to sale of the property, death, assignment of a receiver, etc.), the landlord or the landlord's agent is liable for the security deposit until the deposit is either transferred to the landlord's successor and deposited by the successor (along with notice provided to the tenant of the successor's name and address and that of the financial institution) or returned to the tenant.